

Kailash Nath Associates v. Delhi Development Authority

Citation: (2015) 4 SCC 136 | *Court:* Supreme Court | *Year:* 2015

Coram: Division Bench (R.F. Nariman & Ranjan Gogoi JJ.) | *Subject:* Contracts & Commercial | *Provisions:* Indian Contract Act 1872 Sec 74 &

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Under Section 74 of the Indian Contract Act, forfeiture of earnest money or liquidated damages is permissible ONLY when actual damage or loss has been suffered by the breach. If no loss was caused, forfeiture is impermissible and constitutes unlawful enrichment.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Indian Contract Act 1872 Sec 74 & 73. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Indian Contract Act 1872 Sec 74 & 73.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Compensation under Section 74 is awarded for damage or loss caused by breach. Where loss can be calculated in money, proof of actual loss is mandatory. A pre-estimate clause does not confer an automatic license to forfeit money without proving injury.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Mandated proof of actual loss before forfeiting earnest money under Section 74.

â€¢ Restrained arbitrary forfeiture by government development authorities.

â€¢ Reaffirmed distinction between reasonable liquidated compensation and penal forfeiture.